

Consumer Price Index-CPI & Wholesale Price Index-WPI

1. CPI(Industrial Workers-IW):

- base: 2016
- compiled by the Labour Bureau, Ministry of Labour and Employment
- **target population** is working class family, defined as a family: (i) located within the center for industrial worker, (ii) has at least one member working as manual worker in an establishment in any of the seven sectors of employment covered viz., factories, plantations, mining, ports and docks, public motor transport undertakings, electricity generating and distributing establishments, and railways; and (iii) derived 50 per cent or more of its income during the calendar month preceding the day of enquiry through any manual work.
- weighting diagrams derived on the basis of a Working Class Family Income and Expenditure Survey (WCFIES)
- It is mainly **used for** the determination of Dearness Allowance (DA) being paid to Central/State Government employees and also to the workers in the industrial sectors, besides fixation and revision of minimum wages in scheduled employments. It is also used in moving the base year poverty lines for urban areas to the subsequent years.

2. **CPI(Agricultural Labourers-AL/Rural Labourers-RL)**

- compiled by the Labour Bureau, Ministry of Labour and Employment
- **target populations** are agricultural and rural labourers

A rural labour household is defined as one, which derives major income from manual employment (rural labour) during the last 365 days. From amongst the rural labour households, those households, which earn 50% or more of their total income from gainful employment as manual labour in agriculture during the last 365 days, are categorized as agricultural labour households. Agricultural labour households form a major subset of rural labour households. Rural labourers include both agricultural and other labourers.

- base 1986-87=100
- weights derived from average consumer expenditure per household generated from the results of the NSS 38th round (1983), CES
- weights are based on quinquennial consumer expenditure survey which is conducted from July to June (Agricultural year).
- various items of goods and services are categorized into four main groups namely, (i) Food, (ii) Fuel and Light, (iii) Clothing, Bedding and Footwear; and (iv) Miscellaneous
- **used for** the determination/ fixation and revision of minimum wages in agricultural sector. CPI (AL) is also used in moving the base year poverty lines for rural areas to the subsequent years.

3. **CPI(Rural-R/Urban-U/Combined-C)** (started wef Jan 2011 with base 2010)

- compiled by the NSO, MoSPI
- base 2012
- released from Jan 2015
- weights derived on the basis of average monthly consumer expenditure of an urban/rural household obtained from the results of the 68th round of CES conducted by the National Sample Survey Office during 2011-12.
- The Price data are collected from selected 1114 urban Markets and 1181 villages covering all States/UTs through personal visits by field staff of Field Operations Division of NSO, MoSPI on a weekly roster
- All India Inflation rates (on point to point basis i.e. current month over same month of last year, i.e. February 2022 over February 2021) are calculated thereafter

Component	Weights
Food and Beverages	45.86
Pan, Tobacco & Intoxicants	2.38
Clothing and Footwear	6.53
Housing	10.07
Fuel and Light	6.84
Miscellaneous (Services like Education, entertainment, Health, Transport and Communication, petrol and Diesel)	28.32

-weight of food items in CPI(C) = 39.06%

4. **CPI(Urban-Non Manual Employees-UNME)** {discontinued}

- was released by the CSO since Jan 1961
- target population was urban non-manual family, defined as a family deriving 50 per cent or more of its income from gainful employment of one or more of its members doing nonmanual work in the non-agricultural sector in the urban areas.
- last series of CPI (UNME) was on base 1984-85
- The weighting diagram for that series was prepared on the basis of the data collected through family living survey for urban non-manual employees conducted during 1982-83 in 59 urban centers.
- released every month (25th of the following month)
- Because of outdated base year and also deployment of field investigators earmarked for collection of price data for a broad based CPI (Urban) numbers, NSC in Feb 2008 decide to:
 - (i) discontinue the CPI (UNME);
 - (ii) adopt link index, based on ratio method after aggregating the sub group level indices of Labour Bureau's CPI (Industrial Workers) using CPI (UNME) weights at group/sub-group level for all India; and
 - (iii) compile linked CPI (UNME) numbers till new series of CPI (Urban) is brought out.
- CPI (UNME) was discontinued with effect from April 2008 and linked all India CPI (UNME) numbers were brought out from April 2008 to December 2010.

5. WPI

- released by the Office of Economic Adviser, Dept. for Promotion of Industry and Internal Trade(DPIIT), Ministry of Commerce and Industry
- base 2011-12
- released on 14th of every month with a lag of two weeks.
- doesn't cover services and indirect taxes.
- weight of item is based on net traded value of the item in base year (Net Traded value = gross value of output + Import - Export)-
- comprises of 697 items

Component	Weight
Primary Articles	22.62%
a. Food	15.26
b. Non-Food	4.1
c. Minerals	0.8
d. Crude Petroleum& Natural Gas	2.4
Fuel and Power	13.15%
Manufactured Products	64.23%
a. Food	9.12
b. Non-Food	55.1

- weight given to food items = $15.26 + 9.12 = 24.38\%$
- weight given to fuel and power = 13.15%
- since there is too much volatility in food, fuel and power which is why WPI tends to be higher
- WPI provides estimation of inflation at wholesale transaction level, thus helps in timely intervention by government to check inflation before price increase spill overs to retail prices.

- **CPI v/s WPI**

CPI(C)	WPI
reflects change in average prices at retail level paid by the consumer	reflects change in average prices for bulk sale of commodities at first stage of transaction
weights of CPI are based on average household consumption expenditure taken from CES conducted in base year	weights of WPI are based on production values
retail prices are collected from various markets	prices are collected at ex-factory level, ex-mine level, and mandi level
CPI food group has a weight of 39.1%	weight to food items in WPI is 24.4%
consists of services like housing, education, medical care, recreation, etc.	doesn't include services

- Def.:

Price Reference Year- The year in which the average prices of goods and services consumed, are taken as base price and equated to 100 and, accordingly CPI for base year is 100.

Weight Reference Year- The year in respect of which the data of CES was used to compute weights.

Weighing Diagram- It gives the share of each item in the total consumption expenditure in a CES. Generally, weights are derived from CES data obtained from NSS rounds.